

GOFSCO STORES OPTIMIZATION & INVENTORY CONTROL

Phase 1 – Operational Improvement Framework

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1. EXECUTIVE SUMMARY

This report outlines a structured operational improvement plan for GOFSCO stores with the objective of enhancing inventory control, improving operational efficiency, strengthening asset tracking, and standardizing store procedures across all departments.

The initial implementation phase will focus on the Ahmadi Main Store, followed by gradual standardization across Drilling, Coiled Tubing (CT), and PCP stores.

The proposed framework introduces inventory classification systems, movement tracking, KPI monitoring, reconciliation procedures, asset verification controls, and centralized consumable management to establish a controlled and efficient inventory environment.

2. OBJECTIVES

- Improve inventory accuracy and traceability
- Establish standardized inventory control procedures
- Reduce discrepancies and undocumented stock movements
- Ensure operational readiness through controlled stock levels
- Improve consumable and spare parts management
- Strengthen asset verification and tracking procedures
- Enhance reporting visibility for management decision-making

3. GENERAL STORE IMPLEMENTATION

A centralized General Store is proposed to manage all common consumables and locally sourced operational items shared between departments.

The General Store will primarily manage:



- Oils and lubricants
- Tires
- Truck spare parts
- Common consumables
- Frequently used operational materials

The purpose of the General Store is to:

- Reduce duplicate stocking across departments
- Improve stock visibility and control
- Standardize consumable management
- Optimize procurement and inventory utilization

4. INVENTORY CLASSIFICATION SYSTEM

A. Criticality Classification

- Critical (A-Class): Items directly affecting operations where stock-out may halt activities
- Operational (B-Class): Important items with manageable short-term replacement options
- Non-Critical (C-Class): Items with low operational impact

B. Movement Classification

- Fast Moving Items
- Slow Moving Items
- Dead Stock

Movement classification will be based on frequency of issuance, last issue date, and historical consumption trends.

5. MINIMUM & MAXIMUM STOCK CONTROL

Minimum and maximum stock levels will be established for consumables, spare parts, and operational materials to ensure operational continuity and improved procurement planning.

6. SCRAP MANAGEMENT SYSTEM

A dedicated Scrap Disposal Zone will be implemented within each yard/store location with physical segregation, tagging, and monthly review procedures.

7. NON-SAGE MATERIAL CONTROL

Each yard/store will establish a segregated holding area for items currently not listed within the Sage system to improve safeguarding, tracking, and accountability.

8. INVENTORY TRACKING & CONTROL

A. Real-Time Updating

All inventory transactions (MIV/MRV) shall be recorded on the same day of movement.

B. Weekly Reconciliation

Weekly reconciliation will compare physical inventory against system records.

C. Monthly Audit

Monthly audits will verify quantities, documentation compliance, stock condition, and slow/dead stock identification.

9. MONTHLY STORE REPORTING

Each storekeeper will prepare a monthly operational report including issued items, received items, monthly consumption, slow-moving items, dead stock observations, and discrepancies.

10. DATA STRUCTURE ENHANCEMENT

The inventory database structure will be enhanced to include:

- Last Issue Date
- Last Received Date
- Item Status (Active / Slow Moving / Dead Stock)

11. ASSET VERIFICATION CONTROL

Storekeepers will support physical asset verification, location confirmation, and identification of missing or unregistered assets to improve accountability.

12. KPI MONITORING SYSTEM

- Operational KPIs:
Inventory Accuracy (%)
- Material Issue Processing Time

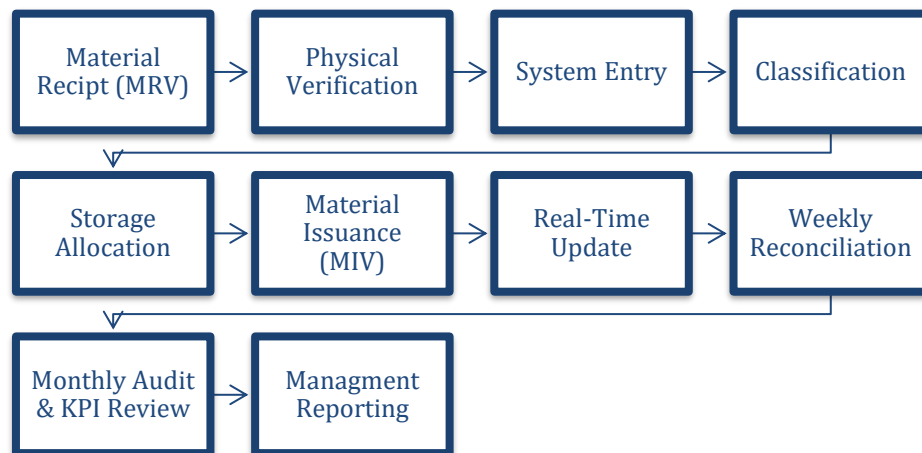
Inventory Health KPIs:

- Dead Stock Value

- Slow Moving Stock Percentage
- Inventory Turnover Rate

Compliance KPIs:

- Transactions without MIV/MRV
- Reconciliation Variances
- Number of Monthly Audit Findings



13. IMPLEMENTATION APPROACH

Phase 1:

- Ahmadi Main Store implementation
- Inventory classification setup
- Scrap area segregation
- Reporting structure establishment

Phase 2:

- General Store activation
- Min/Max stock level setup
- KPI tracking implementation
- Weekly reconciliation process activation

Phase 3:

- Rollout standardization to Drilling Store, Coiled Tubing Store, and PCP Store

14. EXPECTED BENEFITS

- Improved inventory visibility and control
- Reduced discrepancies and stock losses



- Faster material handling and issuance
- Improved operational readiness
- Better utilization of inventory and consumables
- Enhanced reporting and management visibility
- Improved accountability for assets and materials